

Table 3.2 General Statistics

Description	Bull Market	Bear Market
Number found	1,741	565
Breakeven failure rate	11.6%	3.7%
Average rise after D	38.4%	30.5%
Volume trend	53% Upward	57% Upward
Performance Up/Down volume	40%U, 37%D	33%U, 27%D

Volume trend, performance. Volume trends upward slightly more often than downward, as the table shows. You can improve performance by looking at the volume trend. I used linear regression to determine if volume was trending upward or downward from the start to end of the pattern (A to D). Often you can just look at volume to see the trend.

Both markets see an improvement in performance if volume trends higher. To put it another way, a downward volume trend hurts performance.

Trading Tactics

Imagine if you found a pattern that could predict when the stock is going to turn. That's what I had hoped for this pattern. Once you know that the stock had bottomed, you could buy and ride it higher.

Does the stock really turn when it's supposed to and how high does the stock rise? Let's find out. [Table 3.3](#) shows statistics regarding the behavior of price after the pattern ends.

How often does price reach or exceed D? If you use the pattern to predict turn D, then price will hit the target nearly all of the time. The 100% hit rate in bull markets is a round-off thing. I found three patterns out of 1,741 where the stock failed to drop down to the calculated D. So it does fail to reach D, but it's very rare. That's the good news (it reaches D).